

complaint

Mr and Mrs D as executors of the estate of Mr R have complained that Society of Lloyd's (SOL) has unfairly declined a claim under an unoccupied residential property policy.

background

After Mr R died, Mr and Mrs D took out an unoccupied residential property policy for his former home. There is a condition in the policy that from 1 November to 31 March each year the central heating has to be set to operate continuously at not less than 12 degrees Celsius.

In March 2018 they made a claim to SOL after a burst water pipe caused a lot of damage to the property.

SOL appointed a loss adjuster to investigate the claim. The loss adjuster didn't think Mr and Mrs D had complied with the condition in the policy about heating the property. So SOL declined the claim.

Mr and Mrs D carried out the repair work themselves. They would like SOL to reimburse those costs and meet the additional cost of maintaining the house until they find a buyer.

Our adjudicator upheld the complaint in part. He thought SOL should pay Mr and Mrs D £200 compensation and their repair costs subject to the terms and conditions of the policy and supporting evidence. He also thought SOL should pay interest on the repair costs from the date of the claim to date of settlement. In reaching that view our adjudicator relied upon a letter from SOL accepting the claim. SOL said the letter was only a draft and hadn't actually been sent to Mr and Mrs D. As SOL didn't agree, the matter has been referred to me.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

Mr and Mrs D took out the policy in February 2018. The policy is designed for executors of unoccupied properties. It contains the following condition:

"You must comply with one of the following, during the period 1st November to 31st March each year:

i) if the entire main structure at the premises has the benefit of gas or oil fired central heating then this must be set to operate continuously (not timed) for 24 hours each day at not less than 12 degrees Celsius or 54 degrees Fahrenheit

or

ii) all water supplied in the main structure at the premises are to be turned off at the mains stopcock and the water system drained of all water.

If you fail to comply with this duty then this insurance will not provide cover for loss or damage under insured event 3 "Escape of water from any fixed appliance, pipe or tank" and additional cover" Trace and access".

SOL's loss adjuster said the thermostat was set to 15 degrees Celsius at the time of his visit in April 2018. But of course that doesn't show what it had been at the time of the loss. He also said he was satisfied the heating had been kept on. This is what I'd expect Mr and Mrs D to have done since a buyer had been found for the property. So it would make

sense for them to take all reasonable steps to protect the property from damage in order that the sale might complete as expected in May 2018. Also there wouldn't be much point in them taking out the unoccupied property policy for such a short time if they didn't intend to comply fully with its terms.

SOL relied on utility bills supplied by Mr and Mrs D to decline the claim. I agree that the utility bill for the same period from January to April in 2018 was much less (£72.36) than that in 2017 (£327.29). But I don't think that necessarily shows that Mr and Mrs D hadn't complied with the heating condition.

For a start cover started on 24 February 2018, so in order to comply with the condition, the heating had to be set to come on from then until 10 March when the loss was discovered, that's about two weeks. During that period the heating wouldn't be on continuously as the role of the thermostat is to maintain the temperature and so when this drops below the set temperature, the heating will automatically come on and when the desired temperature has been reached, the heating will go off again. Also no hot water would have been used.

SOL implied that Mr and Mrs D hadn't let the loss adjuster visit the property immediately after the loss in order that they might turn the heating back on and increase the gas consumption. But I note from the loss adjuster that Mr D was going into hospital for an operation on 23 March 2018 and wanted to wait until he was fit to drive after that.

SOL also thought Mr and Mrs D would have turned the heating up immediately after the loss in order to dry the property out and that would have accounted for some of the gas consumption. But I'm not convinced of that. Mr D has mentioned that the boiler needed repairs after the leak in March. I'd also expect them to want to check that it and the electrics were working properly before they switched the heating back on, especially since they live some distance from the property.

Lastly in the same period the previous year the property had been occupied by an elderly and infirm gentleman and his carer. I'm prepared to accept that the house would probably have been kept much warmer during that time.

This is a finely balanced case. But overall I don't think SOL has done enough to show that Mr and Mrs D didn't comply with the condition to keep the heating on continuously. So I'm led to conclude that SOL's decision to decline their claim on the ground of breach of this condition was unfair. To put things right I think they should meet Mr and Mrs D's repair costs subject to receiving satisfactory evidence of them.

I don't think it's SOL's fault that the sale fell through. The costs of maintaining the property until it's sold aren't covered by the policy. So I see no reason to require SOL to pay them.

Having their claim unfairly declined undoubtedly caused some trouble and upset to Mr and Mrs D. I think it's appropriate that SOL should pay them £200 compensation for this.

my final decision

I uphold this complaint. I require Society of Lloyd's to:

- pay Mr and Mrs D £200 compensation for trouble and upset;
- settle Mr and Mrs D's claim subject to the remaining terms and conditions of the policy;
- if this results in payments being made to Mr and Mrs D in reimbursement of costs they have already incurred, pay interest* calculated from the date Mr and Mrs D made the payment(s).

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr and Mrs D to accept or reject my decision before 24 August 2019.

Elizabeth Grant
ombudsman

*Interest is at a rate of 8% simple per year and paid on the amounts specified and from/to the dates stated. If Society of Lloyd's considers that it's required by HM Revenue & Customs to take off income tax from any interest due to Mr and Mrs D, it should tell them how much it's taken off. It should also give Mr and Mrs D a certificate showing this if they ask for one, so they can reclaim the tax from HM Revenue & Customs if appropriate.